Corporate Culture

Exam code: 9BS0

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Strong and weak cultures

- A strong **company culture** exists where factors such as **attitudes**, **values** and **beliefs** are easily recognised and **embedded** into the **way that a business operates**
- Businesses with strong cultures are likely to possess a range of **visual features** and **norms**

Visual features and norms in a business with a strong culture

Visual features	Norms
• Business-specific **artefacts**, e.g. uniforms • A well-known figurehead as a role model • Ceremonies, rituals and customs, e.g. **awards evenings** • Layout of business premises, e.g. open plan offices • The **training culture**, e.g. induction and ongoing training	• Core **organisational values**, e.g. staff wellbeing • Workplace procedures, e.g. meeting etiquette • **Business-specific language**, e.g. calling workers "team members" or "partners" • Repeating stories that focus on **business values** and history • Decision-making approach

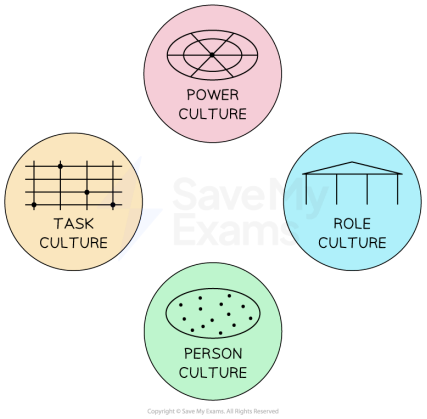
- In businesses with a **strong culture**, it is likely that employees:
  - Have a **"can-do" attitude** and are **enthused** by their work
  - Have a strong **belief** that the business is a force for good
- In a **business with a weak culture**, these **signs may be difficult to identify**
  - A **"them and us" attitude** may exist between workers and management
  - Employees may **doubt the sincerity** of the corporate mission

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Classification of company cultures

- **Charles Handy** identifies four types of organisational culture

Handy's four types of organisational culture



Charles Handy's classification of organisational cultures

Help me understand

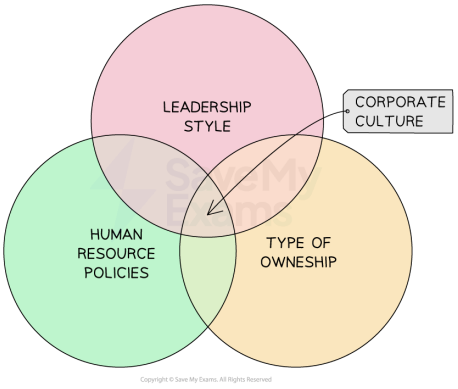
- In a **power culture**, decision-making is carried out by one or a small number of **powerful individuals**, usually at the top of the business hierarchy:
  - **Few rules** exist to determine the decision-making procedure
  - There's a **competitive atmosphere** between workers vying for power
  - Most communication is by **personal contact**
  - It is argued that Alan Sugar's **Amstrad** adopted a power culture with Sugar as its powerful decision-maker
- In a **role culture**, key decisions are made by those with **specific job roles**:
  - Power lies with those with particular **job titles** rather than those with desirable skills
  - There is usually a very clear hierarchical structure
  - Employees are expected to **adhere to rules** and **understand their place** in the hierarchy
  - Businesses with role cultures may find it **difficult to adapt** to rapidly changing market conditions
  - Very large organisations in the **public sector**, such as the **NHS**, are usually considered to have highly structured role cultures
- In a **task culture**, decisions are made by teams made up of employees with specific skills:
  - Power lies with those with **task-related skills** (e.g. a finance specialist may make decisions related to funding within the group)

- **PepsiCo** is an example of a business that has a task culture
- In a **person culture**, individuals with **extensive experience and skills** are loosely brought together:
  - These individuals have significant levels of power to **determine their own decision-making procedures** and often **work autonomously**
  - Organisations with person cultures are very common in professional services such as **accounting** and **law**

How corporate culture is formed

- Corporate culture generally **forms over time**, especially as a business **grows**
- A range of factors contribute to the formation of a corporate culture

Forming corporate culture



Factors contributing towards the formation of a business culture

- A **leader's attitude** can have a significant impact on the culture that forms within an organisation
  - For example, the founder of **SuperJam** developed his business idea with his grandmother, and he has been determined to contribute to the wellbeing of senior citizens as his business has grown
- Some businesses adopt particular **human resources policies** that shape the makeup of their workforce
  - For example, Timpson actively recruits prisoners approaching the end of their custodial sentences
    - They provide extensive training and support, and in return, there is a **culture of loyalty** amongst its staff, grateful at being given a "second chance"
- The **ownership type** of a business can influence the business culture
  - Large **public limited companies** are likely to adopt a **shareholder approach**, focusing on meeting the

longer-term approach focused on the **longevity** of the business and perhaps a wider range of **stakeholder** needs
- Factors such as the **type of product**, the **environmental factors** the business faced when it was created and the **market in which it operates** can all influence the corporate culture that develops

Difficulties in changing an established culture

- From time to time, it may be appropriate and desirable for a business to make changes to its culture to:
  - Increase **productivity**
  - Improve **innovation** and **creativity**
  - Face a particular **challenge**
  - Follow the direction of a **new leader**
- Changing an established culture is a very difficult task for a number of reasons

Difficulties in changing established organisational cultures

Difficulty	Explanation	Example
Identifying contributing factors	• Identifying the various elements of an organisation's culture can take **time and significant insight to fully understand**	• UK train companies plan to remove guards to save **salary costs**: ○ A change like this is likely to negatively impact **passenger wellbeing** and lead to weaker customer service • Train guards have been recognised as positively contributing to company culture
The existence of subcultures	• Changes to visual elements, such as uniforms, logos and mission	• New headteachers often change uniforms or policies

	tasks • The impact of **unofficial subcultures**, such as always **undermining management decisions**, can be harder to change	towards management, and these may be **much harder to recognise and change**
Overcoming resistance to change	• Any change process is uncomfortable and **requires employee buy-in** • This requires **careful communication** for commitment to that change to be achieved	• Executives at Royal Mail have been hampered in their attempts to change working practices and norms within the business, as they have **not gained employee buy-in** to the process, and their approach and communication to employees has been poor

Examiner Tips and Tricks

Case studies contain lots of **clues** about a firm's culture.

Look for signs of a **strong** or **weak** culture, for example:

- Does the business have a clear **figurehead**?
- Is there a particular way that the business carries out its **activities**?
- Are there obvious **guiding principles**?
- Are there **visible signs** of a culture, e.g. branding or uniforms?

The more clues you can identify, the more likely it is that the business has a strong culture, but:

- Do negative **subcultures** exist?
- Is **communication** effective?
- Is everyone "**on board**"?

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